



TRANSPORTATION



## AIR lands \$23M to bring its eVTOLs to the US

The combined forces of escalating geopolitical tensions and rising defense budgets are spurring many electric vertical takeoff and landing (eVTOL) makers to take a two-pronged approach to building their aircraft: crewed vehicles for personal or commercial taxi use, and uncrewed vehicles meant for logistics and defense purposes.

[AIR](#), an Israel-based startup developing eVTOLs, thought it prudent to adopt a similar approach from the get-go, designing both its uncrewed and piloted aircraft with the same airframe and core systems so it could develop for both use cases at once.

The company currently offers a piloted eVTOL craft, dubbed AIR ONE, for personal use, and an uncrewed eVTOL designed for cargo transport, contested logistics, and defense applications. Since its first cargo eVTOL delivery in late 2023, the company has secured over 2,500 preorders for its piloted personal aircraft, AIR ONE, and plans to ship 15 cargo eVTOLs this year.

IMAGE CREDITS: AIR

To build on that momentum, AIR recently raised \$23 million in a Series A funding round led by Entrée Capital, with participation from existing backer Dr. Shmuel Harlap, an early investor in Mobileye. The new capital will be used to scale its production facility in Israel, hire additional employees, and support the company's expansion to the U.S., CEO and co-founder Rani Plaut told TechCrunch in an interview.

The Series A funding comes in the wake of [a recent U.S. executive order](#) promoting domestic drone and eVTOL development, as well as [an update to the FAA's MOSAIC rule](#) that expands certification pathways.

The company's cargo aircraft currently in operation do not require full Type certification and are flown under [Experimental Airworthiness Certificates](#) (EAC) for logistics and dual-use missions, according to Plaut. EACs are issued to aircraft that are in development, testing, or for research purposes. They allow the aircraft to fly under strict conditions and limitations.

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“Our launch customer is flying under an Experimental Airworthiness Certificate, which will convert to a [“Type” certificate](#) once the uncrewed eVTOL completes the certification process,” he said.

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Type certification means an aircraft meets all applicable safety and regulatory standards, and can be produced and operated commercially. EACs don’t “convert” automatically to Type certificates; AIR likely will use its EAC to test its prototype while working through the Type certification process.

Meanwhile, AIR expects the two-seated, piloted AIR ONE to qualify for [Light Sport Aircraft \(LSA\)](#) certification under the new MOSAIC rules. Aircraft certified as LSA are limited to flying outside densely populated areas and away from controlled airspace.

“We designed the AIR ONE from day one to align with the MOSAIC LSA criteria, anticipating a more streamlined certification pathway,” Plaut added. “Now that the rule is finalized, we’re on track to become the first piloted eVTOL certified under LSA to reach private customers. Our goal is to begin deliveries as soon as the rule becomes enforceable in 2026.”

The U.S. is a great market for eVTOL companies today, given the opportunity to land enterprise and government contracts, especially as the Trump administration adopts an increasingly hawkish defense stance. But AIR will face

intense competition: [Joby Aviation](#) and [Archer Aviation](#) already have [partnerships with airlines](#) to bring their air taxi services to life, and, along with Beta Technologies, they already have [military contracts](#) for testing their aircrafts' recon and logistics abilities. On top of that, AIR isn't manufacturing its eVTOLs in the U.S. yet, which is table stakes for winning government contracts.

Still, AIR says its design architecture and cost control give it an edge against the incumbents. It hopes its current funding round will help it with its planned U.S.-based manufacturing hub for high-volume production.

"What sets AIR apart is the shared design DNA between both aircraft variants," Plaut said. This unified architecture allows for cross-platform upgrades, meaning advancements in one model can be applied to the other, streamlining development, manufacturing, and scalability, he explained.

"The size and folding-wing mechanism solve a major infrastructure hurdle," Plaut explained. "They don't require airports or complex handling — just a flat surface — and can park in most garages or driveways."

AIR's uncrewed model also follows simplified SOPs (standard operating procedures), which, the CEO says, allows even minimally trained ground crews to operate it. "And we're closing the cost gap by applying automotive-grade manufacturing principles for scalable production," he added.

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ENTERPRISE



## Upwork is buying its way into corporate staffing beyond freelancers

Rebecca Szkutak — 1:05 PM PDT · August 6, 2025

[Upwork](#), a platform that connects companies with freelancers, announced two acquisitions to help build out a new stand-alone enterprise-focused business that could expand its market reach.

The San Francisco-based company announced it has acquired [Bubty](#), a workforce management platform, and has signed a definitive agreement to acquire [Ascen](#), a global compliance and EOR (employer of record) company, ahead of its second-quarter earnings call on August 6.

Upwork will integrate these two companies into its existing enterprise business to create a stand-alone entity under the Upwork umbrella.

The move is significant because it will allow Upwork to offer access to talent beyond the independent contractor workforce Upwork is known for — essentially enabling the company to compete in new areas of the corporate staffing

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market. The new entity will support contract types, including agent of record, employer of record, and staff augmentation.

Upwork president and CEO Hayden Brown told TechCrunch that the timing was right to launch this new enterprise-focused business because Upwork's existing enterprise customers have been increasingly asking for access to these talent pools.

"Most of the providers that exist today force their customers to choose between flexibility and compliance, or speed and scale, or having a digital tool versus having something that's actually robust and for the enterprise," Brown said. "And with this new capability, we're refusing to compromise. We're giving our customers all of the benefits they've been looking for, and we've heard loud and clear that they want this singular solution."

Brown said that Upwork's existing enterprise business makes up about \$100 million of the company's overall \$750 million in yearly revenue.



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Upwork decided to make the enterprise business a stand-alone entity because enterprises have very different needs regarding compliance and software integrations than the small and midsize businesses Upwork's main business works with.

Keeping them separate allows for better external branding and better internal focus, Brown said.

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Upwork vetted more than 100 potential companies to acquire to build out this business, Brown said. The company landed on Buby and Ascen not only for what they bring separately but also for how they worked together — Upwork piloted the companies both individually and together.

“We saw through the power of those pilots how impactful their technology was and how easy it was to basically snap together what each of them offers, along with our existing offering to deliver something very new and innovative in the market,” Brown added.

Details on the branding and full offerings of the new stand-alone business are set to be unveiled later this year.

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SpaceX is building a water pipeline to Starbase — but

# access comes with some conditions

Aria Alamalhodaei — 10:30 AM PDT · August 7, 2025

The newest piece of infrastructure coming to Starbase, Texas, isn't a launch mount or a booster. It's a water pipeline, and who can hook up a tap (and on what terms) will shape the definition of "company town."

The new line, which will stretch from Brownsville to the newly incorporated city of Starbase, will replace the truck-hauled deliveries SpaceX has used to transport potable water for its employees and on-site residents. Brownsville Public Utilities Board (BPUB) COO Mark Dombroski confirmed the line at a July 16 meeting, saying the board had executed a contract with SpaceX to provide water as an in-city customer.

The BPUB approved the SpaceX contract on June 2, Dombroski told TechCrunch over email. He did not explain why SpaceX is being treated as an in-city nonresidential customer, which carries a cheaper rate class than outside-city customers, despite the fact that the company did, indeed, establish its own city.

"Under a non-standard development agreement, SpaceX will extend — at their cost — a line to a metering point within the city limits, then transport the water to Starbase," he continued. "They will also pay for and construct the improvements needed for BPUB to deliver water to the meter. This arrangement is intended to supersede the water hauling arrangement after SpaceX starts taking water through the meter. Timing is driven largely by SpaceX's construction schedule."

The potable water deliveries have been constrained by a 60,000 gallons per day cap under the current hauled-water purchase agreement between BPUB and SpaceX, according

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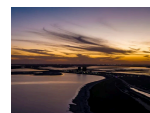
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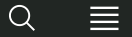
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Starbase disagrees: In July, Starbase city administrator Kent Myers reportedly sent a letter to a Cameron County commissioner saying the abrupt water cutoff “poses safety and public health risks.”

Starbase “has neither the legal authority nor operational capacity to deliver water to these residents,” Myers said.

Meanwhile, SpaceX has reportedly distributed an “unconditional and perpetual agreement” to non-SpaceX affiliated homes that would exchange access to Starbase’s water and sewer system for residents’ agreement to leave the area for “any and all launch, testing and other operational activities.”

The document also states that “SpaceX has no obligation to provide residents with access to SpaceX’s water and wastewater treatment,” nor does it guarantee the quality or volume of water and blocks residents from seeking “legal or monetary recourse” against the company.

## A city — with no utilities

The newly incorporated city of Starbase, governed by SpaceX executives, is a separate municipal entity adjacent to and encompassing SpaceX’s sprawling South Texas launch site.

[The city was incorporated in May.](#) Only registered voters within the proposed boundary were allowed to vote on the incorporation. There were 247 lots inside that boundary, and only 10 were not owned by SpaceX, according to an affidavit submitted by SpaceX senior manager of spaceport operations Richard Cardile.

Even before the vote was cast, SpaceX had been working behind the scenes to formalize potable water provisions for employees and residents.

SpaceX established a state-regulated drinking-water system, replete with a half-a-million-gallon ground storage tank, plus service pumps, a chlorine analyzer, tank mixer, and other hardware, according to TCEQ records. The central water system, which is supplied by the two water haulers, is small compared to a city utility, but sizable for an on-site, industrial operation. It serves 239 residential service connections, or meters, which can include multiple units.

Starbase’s role is limited by design: “The City of Starbase does not provide any utility services,” Myers told TechCrunch. “These services are provided by SpaceX within the City Limits.”

In practice, that means the forthcoming Brownsville-Starbase pipeline would feed a private, SpaceX-run water system. Neighbors don’t automatically gain a right to a tap; any connection would be at SpaceX’s discretion, and on SpaceX’s terms.

The planned pipeline solves near-term scarcity for SpaceX employees and their families but doesn’t create a public right to water.

According to public records, SpaceX has not obtained a Certificate of Convenience and Necessity (CCN), a Texas Public Utility Commission authorization that determines who may retail water, so has no obligation to serve third parties.

SpaceX did not respond to TechCrunch’s questions on whether it will be adding public utilities to its long list of commercial services.

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Tesla shuts down Dojo, the AI training supercomputer that Musk said would be key to full self-driving

Tesla is breaking up the team behind its [Dojo supercomputer](#), ending the automaker's play at developing in-house chips for driverless technology, according to [Bloomberg](#).

Dojo's lead, Peter Bannon, is leaving the company, and the remaining team members will be reassigned to other data center and compute projects within Tesla, per Bloomberg's reporting, which cited anonymous sources.

The disbanding of Tesla's Dojo efforts follows the departure of around 20 workers, who left the automaker to start their own [AI company called DensityAI](#). The new startup is reportedly coming out of stealth soon and is building chips, hardware, and software that will power data centers for AI that are used in robotics, by AI agents, and in automotive applications.

DensityAI was founded by former Dojo head [Ganesh Venkataramanan](#) and ex-Tesla employees Bill Chang and Ben Floering. IMAGE CREDITS: BRYCE DURBIN/TECHCRUNCH

It also comes at a crucial time for Tesla.

[CEO Elon Musk has pushed](#) to get shareholders to view Tesla as an AI and robotics company, despite a limited robotaxi launch in Austin this past June that featured Model Y vehicles with a human in the front passenger seat and resulted in a number of reported incidents of the vehicles exhibiting problematic driving behavior.

Tesla's decision to shut down Dojo, which Musk has been talking about since 2019, is a major shift in strategy. Musk has said that Dojo would be the cornerstone of Tesla's AI ambitions and its goal to reach full self-driving due to its ability to "process truly vast amounts of video data." He talked about Dojo, albeit briefly, as recently as the company's second-quarter earnings call.

In 2023, Morgan Stanley predicted Dojo could add \$500 billion to the company's market value by unlocking new revenue streams in the form of robotaxis and software services. Just last year, Musk noted that Tesla's AI team would

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[“double down”](#) on Dojo in the lead-up to [Tesla’s robotaxi reveal](#), which happened in October.

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But talk about Dojo halted around August 2024, when Musk began touting Cortex instead, Tesla’s “giant new AI training supercluster being built at Tesla HQ in Austin to solve real-world AI.”

The Dojo project was one part supercomputer, one part in-house chip-making. Tesla unveiled its D1 chip when it formally announced Dojo at its first AI Day in 2021. [Venkataramanan](#) presented the chip, which Tesla said would be used alongside Nvidia’s GPU to power the Dojo supercomputer. The automaker also said it was working on a next-gen D2 chip that would solve any information flow bottlenecks of its predecessor.

Sources told Bloomberg that now Tesla plans to increase its reliance on Nvidia, as well as other external tech partners like AMD for compute and Samsung for chip manufacturing. Tesla last month signed a [\\$16.5 billion deal with Samsung](#) to make its AI6 inference chips, a chip design that promises to scale from powering FSD and Tesla’s Optimus humanoid robots all the way to high-performance AI training in data centers.

During Tesla’s second-quarter earnings call, Musk hinted at potential redundancies.

“Thinking about Dojo 3 and the AI6 inference chip, it seems like intuitively, we want to try to find convergence there, where

it’s basically the same chip,” Musk said.

The news comes as [Tesla’s board offers Musk a \\$29 billion pay package](#) to keep him at Tesla and help push the company’s AI efforts forward, rather than getting too sidetracked by his other companies, including the more pure-play AI startup xAI.

TechCrunch has reached out to Tesla for more information.

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